KEY BENEFIT ADMINISTRATORS

EXECUTIVE SUMMARY | EMPLOYER SOLUTIONS

Direct-to-Employer Go-to-Market Strategy

A Froedtert ThedaCare-branded health plan for self-funded employers in eastern Wisconsin and northern Illinois

Prepared for

Froedtert & Medical College of Wisconsin



EXECUTIVE SUMMARY

A health plan your employer customers can buy

Built for self-funded employers

Lower unit costs, full transparency, aggressive stop-loss and a seat at the table with Froedtert ThedaCare. Level-funded options reach groups as small as 20 employees.

Members rewarded, not restricted

Preferred Plus Benefits can take a member's out-of-pocket cost to $0 at Froedtert ThedaCare, while the broad network keeps freedom of choice. KBA networks average 83% Tier 1 steerage.

Claims paid, not denied

In a comparable KBA DTE program, fewer than 3 in every 1,000 claims were denied or held for information in 2025.

$17.1M

Projected Year 4 net margin change for Froedtert ThedaCare
Target case: 10,900 members, 67% inpatient and 58% outpatient steerage, 30.4% commercial margin

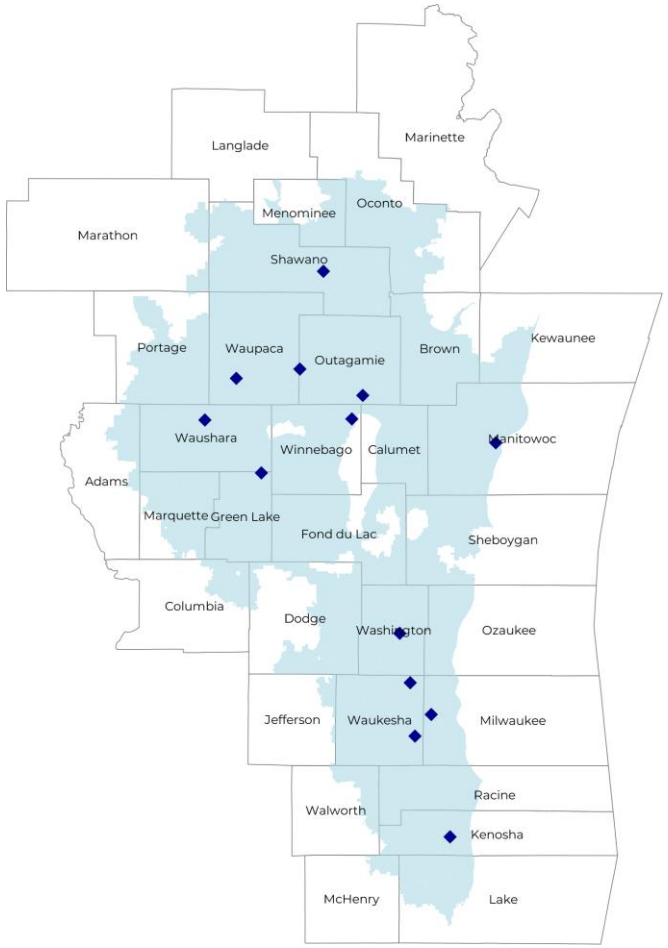


DIRECT-TO-EMPLOYER STRATEGY

Powerful employer value

- Lower medical spend through lower unit costs and better integrated care
- A seat "at the table" with Froedtert ThedaCare
- Aligned financial incentives
- Complete transparency into plan expenses and cost drivers
- Aggressive stop-loss premiums and policy terms
- Higher employee satisfaction
- Better cash flow and a more stable future cost trend

Significant room for plan growth



4,400+

Employers

900,000+

Employees

1,700,000+

Members

Commercial employers headquartered in the Froedtert ThedaCare catchment area, by employer size (number of employees)

	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
Employers	2,307	1,026	619	367	127	78
Employees	173,000	153,900	185,700	256,900	254,000	468,000
Members	311,400	277,000	334,300	462,400	457,200	842,400

Affordability without compromise

Employers take back control of their healthcare programs while members keep freedom of choice and are rewarded for choosing high-quality, cost-effective care.

Basic medical benefit

Customized major medical plan with access to a broad network of providers.

Preferred Plus Benefits*

Benefits paid at preferred providers: real dollars to members who get the care they need, when they need it.

Health Guardian Account

KBA tracks and administers Preferred Plus Benefits, out-of-pocket expenses and the Convenience Card.

Healthcare Convenience Card

0% interest, no-fee card for out-of-pocket expenses at preferred providers.

Chronic disease and acute illness management

Patented program covering 28 chronic illnesses with 11% to 17% savings and a $14 to $1 ROI.

PBM, specialty Rx and GLP-1 program

Transparent Rx programs with 1-on-1 coaching: about 20%+ savings on Rx and 10% on overall claims.

*Daily inpatient hospital benefit, OP surgery/anesthesia, OP radiology/X-ray, OP diagnostic labs, health screening benefit, wellness benefit, critical illness

Base medical + Preferred Plus: the deductible can vanish

Example: a member with a $2,500 deductible and $4,500 out-of-pocket maximum has a heart attack and cardiac surgery with a 5-day inpatient stay. At a preferred provider, $4,925 in Preferred Plus Benefits cover the full $4,500 out-of-pocket, so the member owes $0. At a non-preferred provider, the member owes $4,500.

Base medical benefits*	
Deductible (single / family)	$2,500 / $4,500
Coinsurance	80% / 20%
Max out-of-pocket (single / family)	$4,500 / $9,000
Chronic disease regimens of care	Covered at 100%
Healthcare Convenience Card	0% interest
Health Guardian Account	Included

Preferred Plus Benefits	Preferred	Non-preferred
OP radiology / X-ray	$200	$0
OP diagnostic labs	$100	$0
Preferred hospital stay ($500/day, 5 days)	$2,500	$0
Critical illness benefit	$2,000	$0
Health screening benefit	$125	$0
Total employee out-of-pocket	$4,500	$4,500
Preferred Plus Benefits	$4,925	$0
Employee amount due to provider	**$0**	**$4,500**
Added to Health Guardian Account	$425	$0

*Base medical benefits are for illustration only and can be customized to client needs.



THE KBA HEALTHCARE CONVENIENCE CARD

Creating EPO steerage in a PPO network

The card works only for specific merchant codes, so it rewards care at preferred providers.

1. **Use at specific healthcare providers**
   Designated hospitals, urgent care facilities, physicians and eligible ancillary providers
2. **Out-of-pocket expenses qualify**
3. **0% interest rate**
4. **Employee sets the repayment schedule**
5. **Simple to qualify**
   Answer one simple question

2025 CLAIMS EXPERIENCE

Fewer than 3 in 1,000 claims denied or held

2025 denial experience, comparable KBA DTE program (% of claims processed)

0.27%

Full denials

0.02%

Full LOIs (lack of information)

0.29%

Combined denials and LOIs

Share of claims denied



LOIs are soft denials, not final denials. They are issued when more information is needed to adjudicate a claim, and these claims are often paid once the information is received.

**Blue Cross denial rate reported by another Midwest academic health system.*

HOW IS THIS POSSIBLE?

The low denial rate is by design.

- Plan designs customized for each DTE partner
- No heavy-handed pre-certification or prior authorization used to deny claims
- One simple strategy: steer patients to our partner system and pay claims accurately and quickly

WEIGHT MANAGEMENT

GLP-1s that don't break the bank

Prime Therapeutics reports GLP-1 spend per member per month tripled by March 2025, now about 15% of total pharmacy spend, with more than 1 in 50 members filing a GLP-1 claim in Q1 2025.

THE CHALLENGE

$1,089-$1,349

per month for traditional GLP-1s, an unsustainable cost that limits employee access

OUR SOLUTION

$249

per month for generic GLP-1 medications secured by Key Benefits, with strict budget control

THE IMPACT

$7M

saved by one major city that was spending $11M a year on GLP-1s

Beyond medication: comprehensive care

Members get specialized coaching twice a month on keeping muscle strength, moderate exercise and lasting lifestyle changes that sustain weight loss after GLP-1 treatment ends.

270

conditions linked to obesity (Cleveland Clinic)

$8.5K

added annual cost per obese individual (KFF)



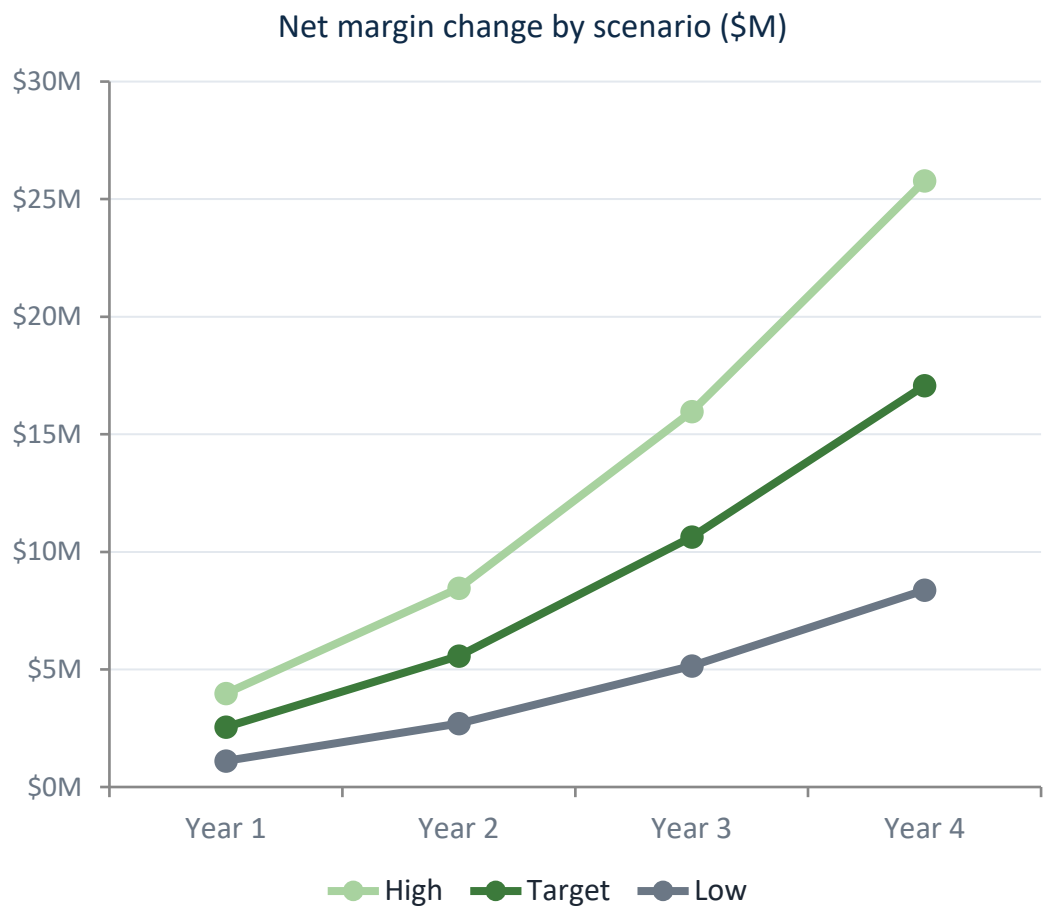
DTE PROGRAM MARKETING AND SALES

KBA works with you to manage and sell

- Branding and messaging
- Direct and brokerage sales distribution with a focused sales representative
- Brochures, website and media
- Stop-loss and level-funded options down to 20 employee lives
- Sell through established brokers in your service area

FOUR-YEAR PROJECTIONS

Net margin change grows to $17.1M by Year 4



Target case ($K)	Year 1	Year 2	Year 3	Year 4
Number of Members	2,200	4,400	7,300	10,900
Incremental Margin	2,848.9K	5,701.2K	10,729.6K	17,119.9K
Network Access Fee	26.4K	52.8K	87.6K	130.8K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	**2,545.3K**	**5,574.0K**	**10,637.2K**	**17,070.7K**

HIGH CASE, YEAR 4

$25.8M

16,400 members

LOW CASE, YEAR 4

$8.4M

5,400 members

IMPLEMENTATION

From decision to go-live in 6 to 8 months

MONTH 0	MONTH 1	MONTHS 1-6	MONTHS 3-6	MONTHS 6-8
Pre-implementation	**Agreement and project scope**	**Implementation**	**Sales and marketing**	**Go live**
Network gap and pricing analysis		Market outreach begins in month 3	Hire the sales executive	First employer groups enroll



Recommended next step: a working session with the employer solutions team to define target employer segments and plan design, then start the pre-implementation network and pricing analysis.